

IMARTICUS LEARNING

FINANCIAL SYSTEM AND FINANCIAL MARKETS



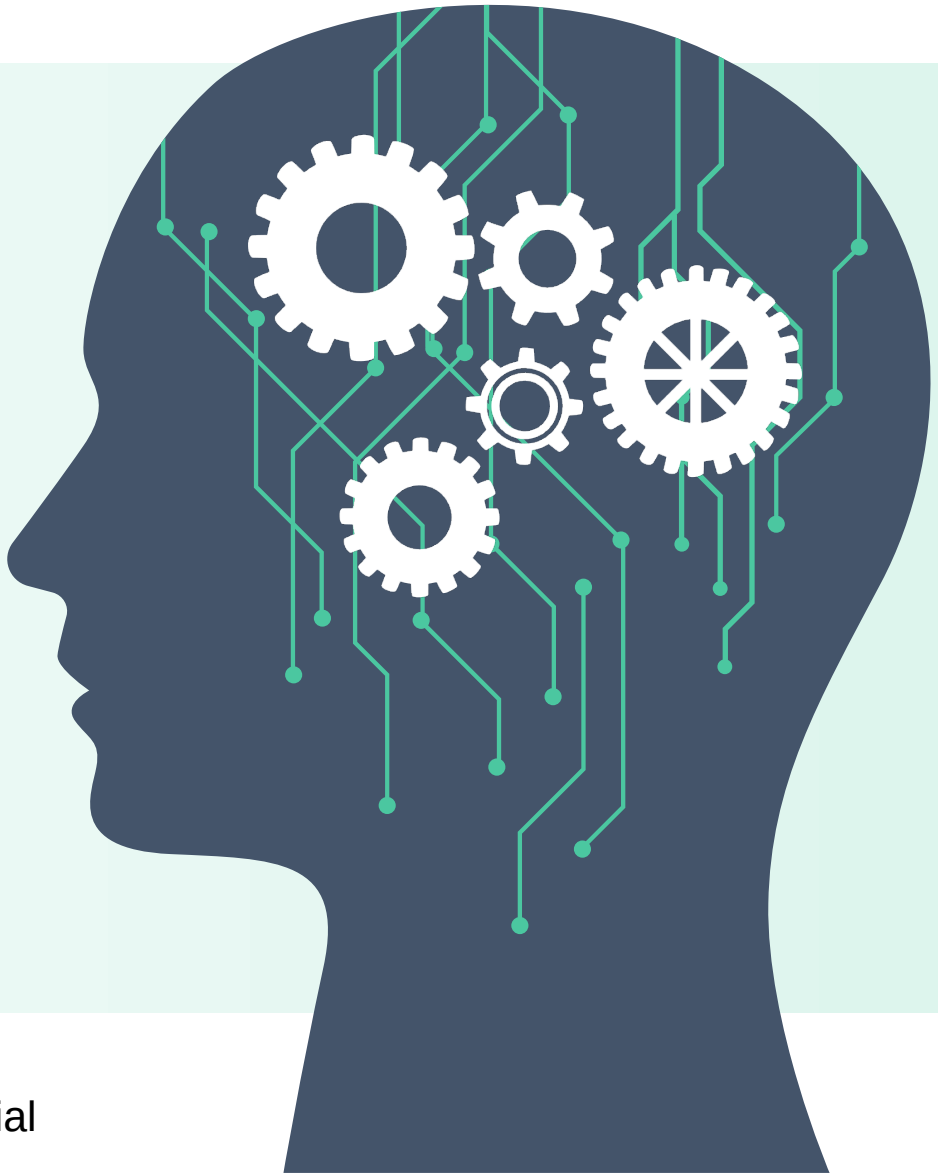
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YOU ARE GOING TO LEARN…

- Introduction to Financial System
- Structure of Financial System & Types of Markets
- Participants in Financial Markets
- Investment Banks - Functions/Roles





What is a Financial System?

INTRODUCTION TO FINANCIAL SYSTEM

A financial system is a system that allows the exchange of funds cash surplus segment (Lenders) to the cash deficit segment (Borrowers).

Need for a Financial System

01	It plays a vital role in the economic development of the country as it encourages both savings and investment.
02	It helps in mobilizing and allocating one's savings.
03	It facilitates the expansion of financial institutions and markets.
04	Plays a key role in capital formation.



It plays an important role in the growth of the country's economy by facilitating smooth transfer of Funds from Surplus Economic Units to Deficit Entities and thereby improving the economic performance leading to economic welfare.

WHAT IS FINANCIAL SYSTEM?

Financial System is a system that brings together Financial Participants, Markets, Products, and Services.



Participants



Markets



Products



Services

Financial System

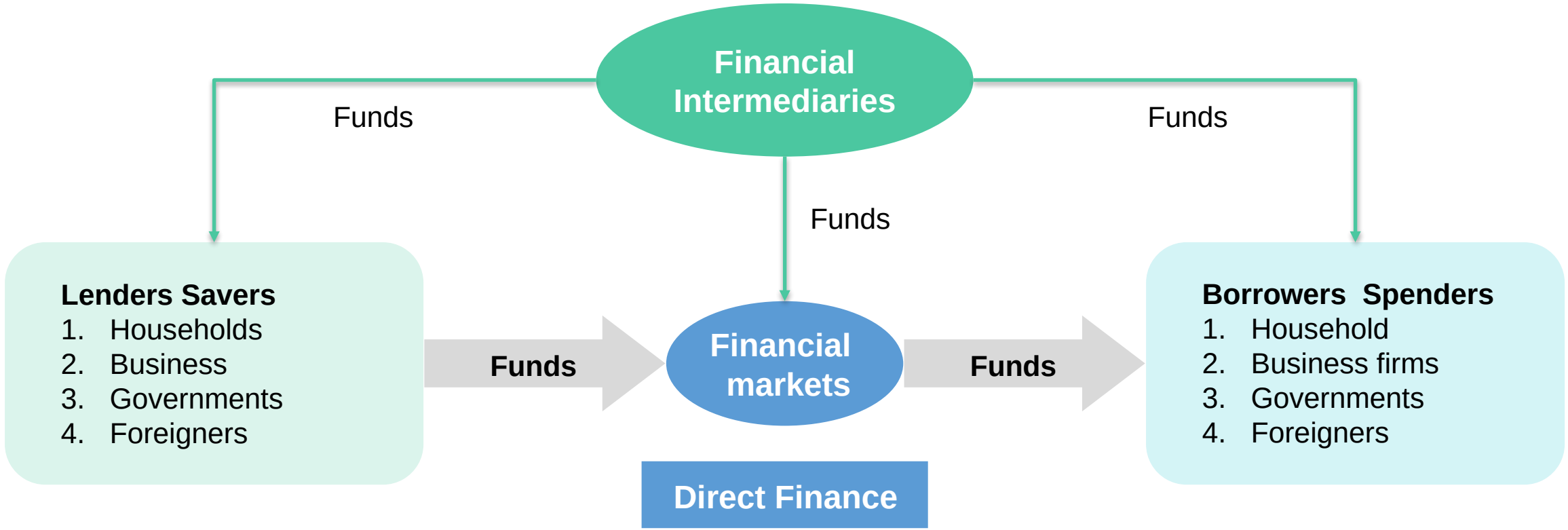
Geographical Classification

- **Regional**
- **Domestic**
- **International**

HOW FINANCIAL SYSTEM WORK?

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Indirect Finance



HOW FINANCIAL SYSTEM WORK?

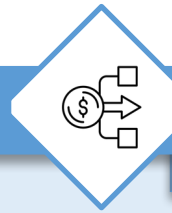
Direct Financing



Direct finance is a method of financing where borrowers borrow funds directly from the financial market without using a third party service, such as a financial intermediary.

Direct financing is usually done by Borrowers/Issuers that sell securities like Shares/Bonds to raise money and circumvent the high interest rates of financial intermediaries (Banks).

Indirect Financing



Indirect finance is where borrowers borrow funds from the financial market through indirect means, such as through a financial intermediary (Banks).

One example of indirect finance is when a financial institution, such as a Bank or NBFC or Credit Union provide Borrowers with financing options.

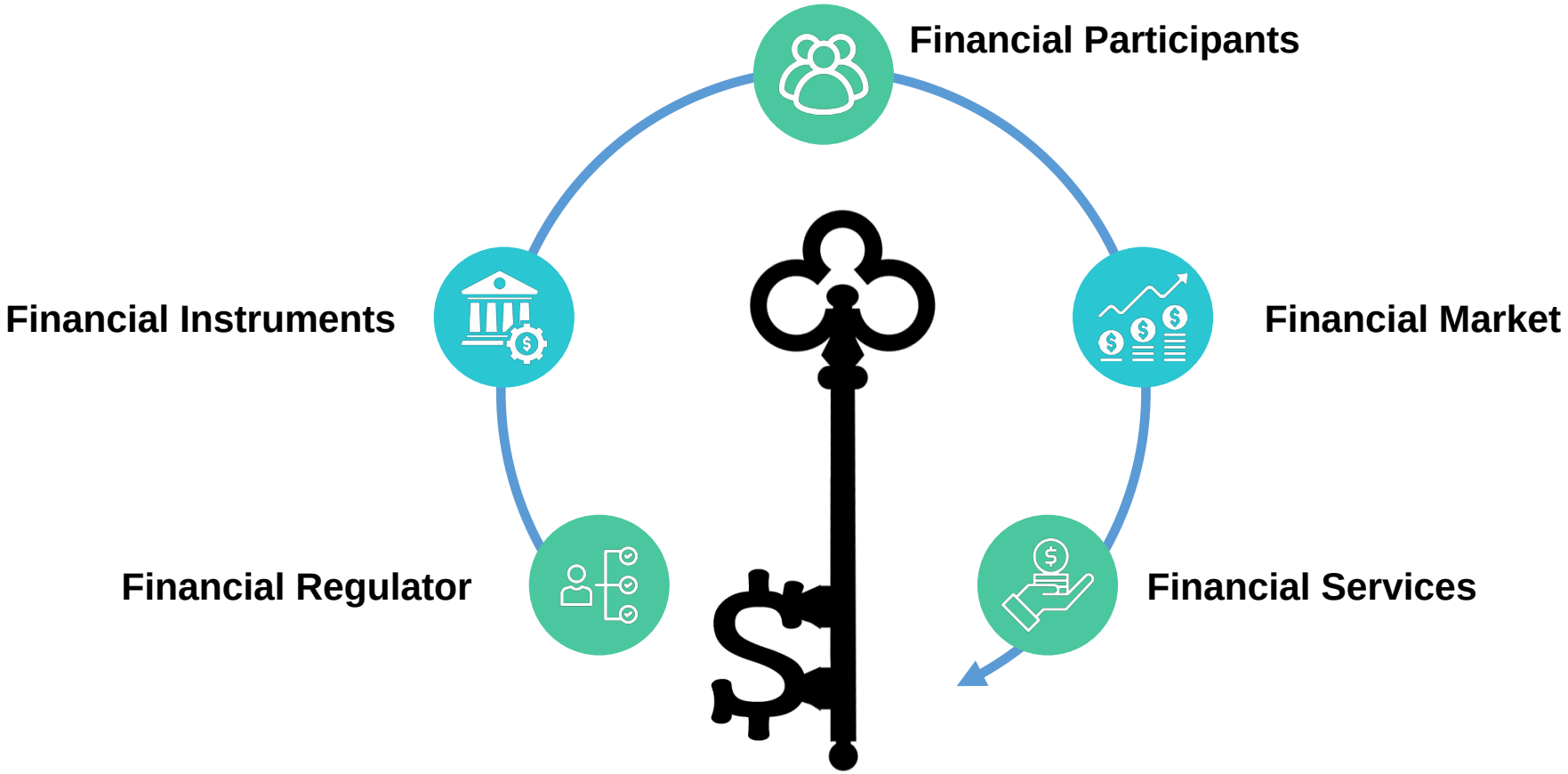
Indirect finance is also used by institutional investors such as pension funds or mutual funds that purchase company securities or pass through debt obligations issued by municipalities or sovereign governments.



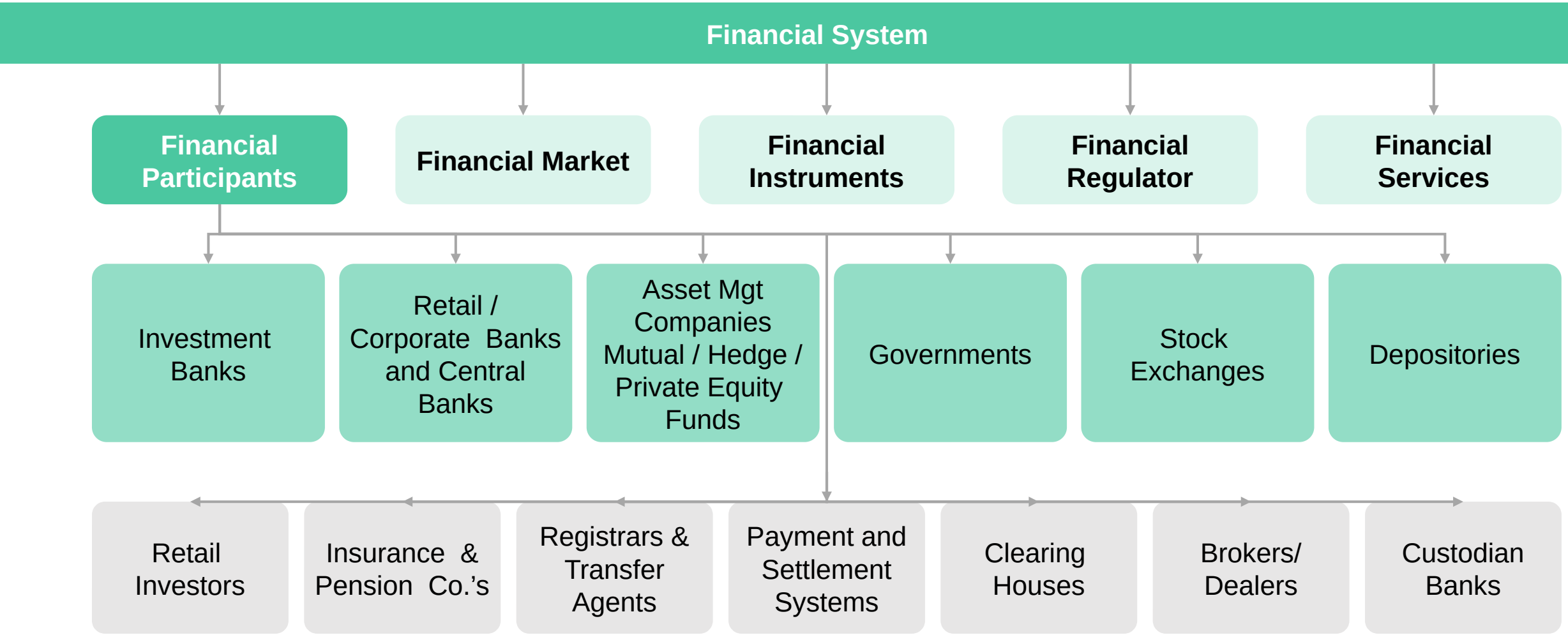
Structure of Financial System

STRUCTURE OF FINANCIAL SYSTEM

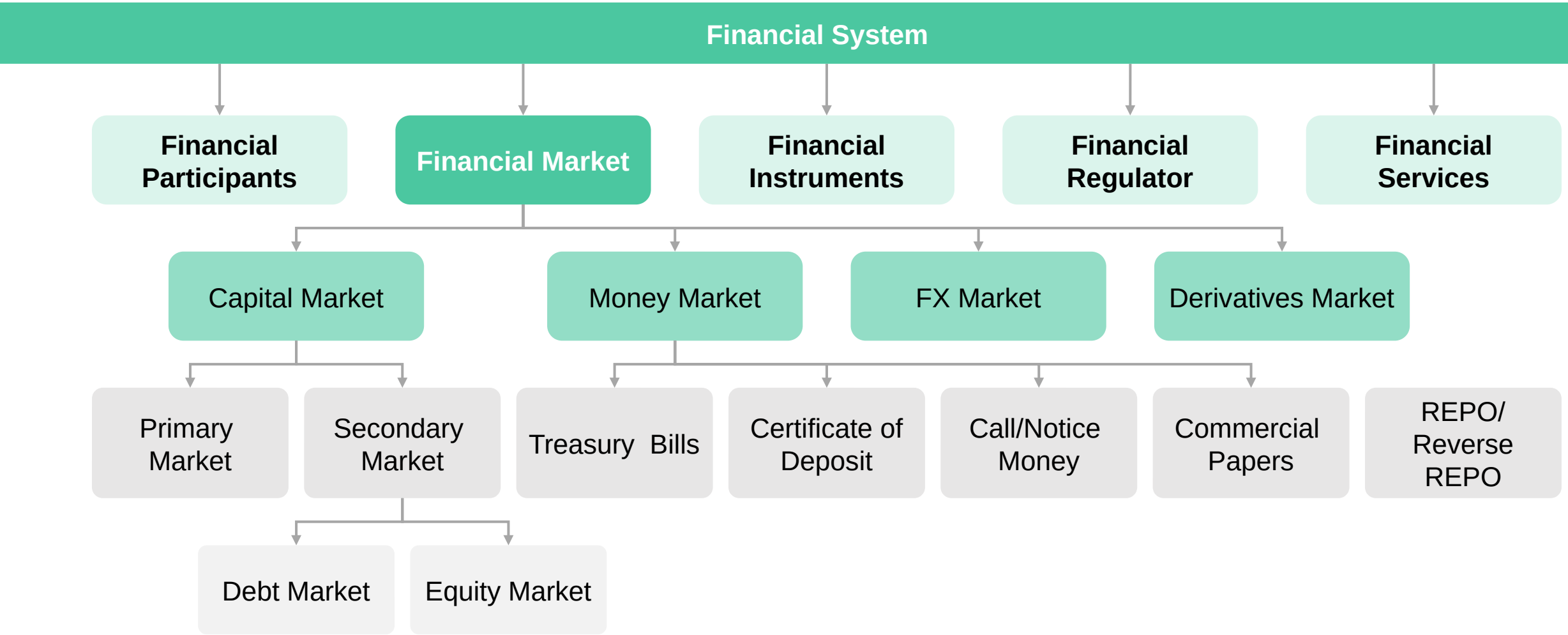
The financial system of an economy consists of five main components.



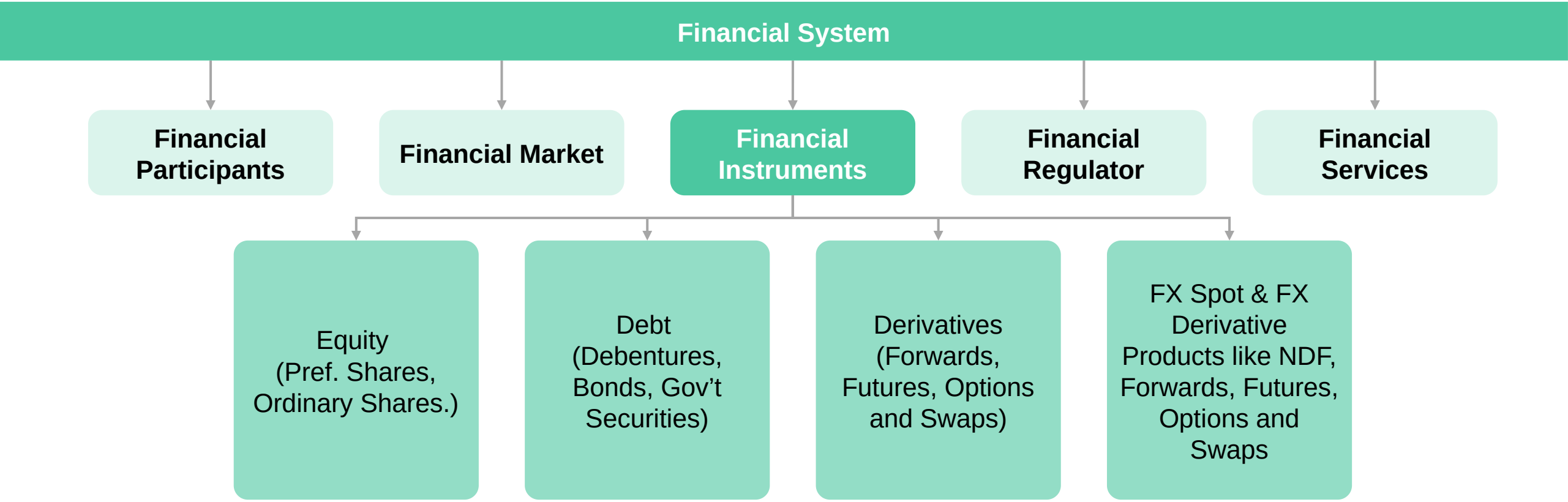
STRUCTURE OF FINANCIAL SYSTEM



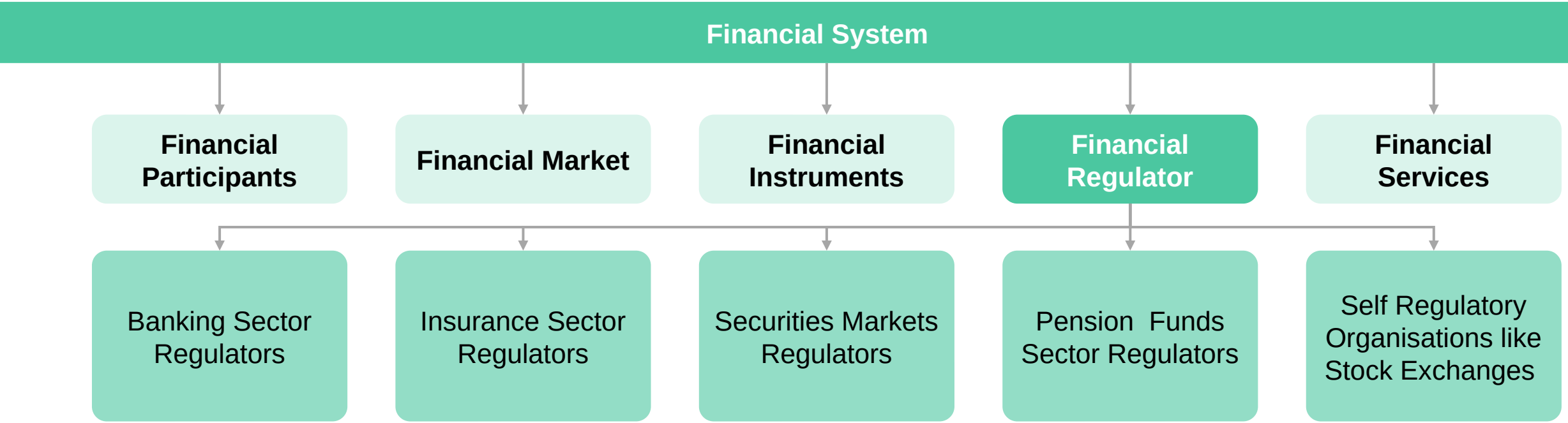
STRUCTURE OF FINANCIAL SYSTEM



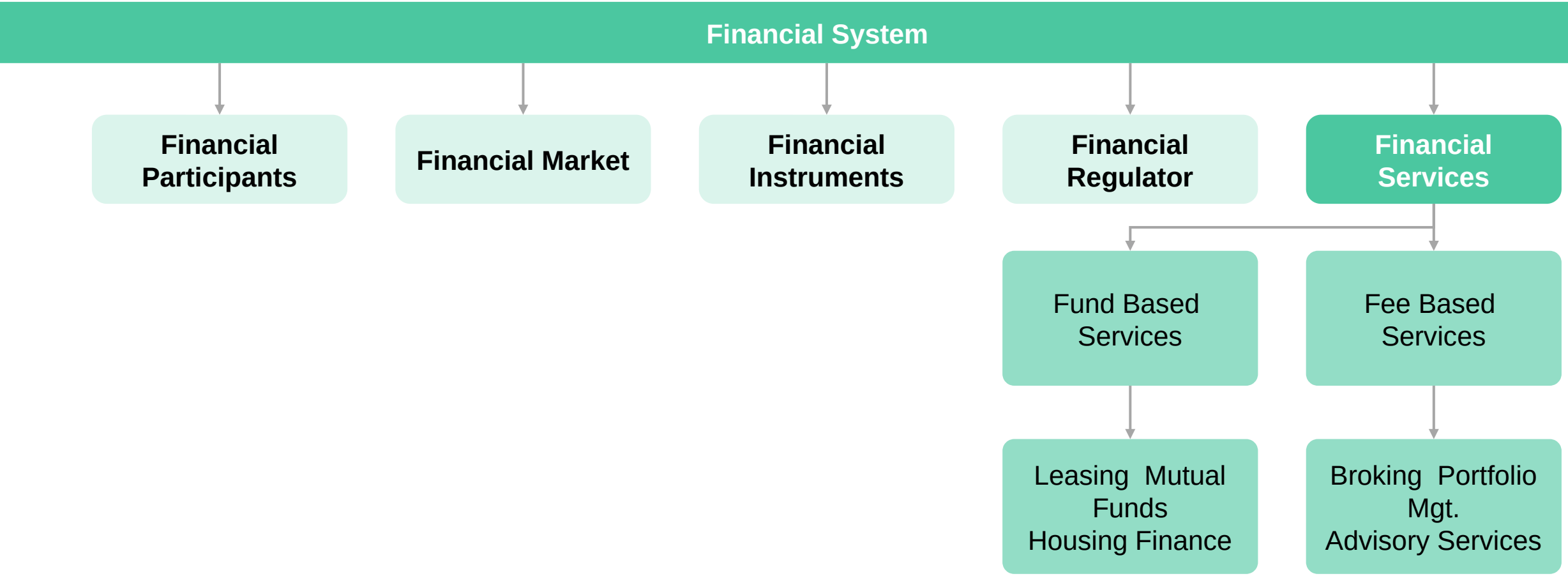
STRUCTURE OF FINANCIAL SYSTEM



STRUCTURE OF FINANCIAL SYSTEM



STRUCTURE OF FINANCIAL SYSTEM





Financial Markets

FINANCIAL MARKET

A market where financial instruments are traded in order to raise capital.



FINANCIAL MARKET - FEATURES

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01

Liquidity:
Liquidity refers to the ease with which assets can be quickly bought or sold without significantly affecting their prices. Financial markets aim to provide liquidity, allowing participants to enter or exit positions with minimal impact on market prices.

02

Price Discovery:
Financial markets provide a platform for determining the market prices of financial assets through the interaction of supply and demand. Price discovery reflects market participants' expectations, information, and sentiments.

03

Accessibility:
Financial markets are accessible to a wide range of participants, including individuals, institutions, corporations, and governments. This accessibility allows various entities to engage in trading, investing, and fundraising.

FINANCIAL MARKET - FEATURES

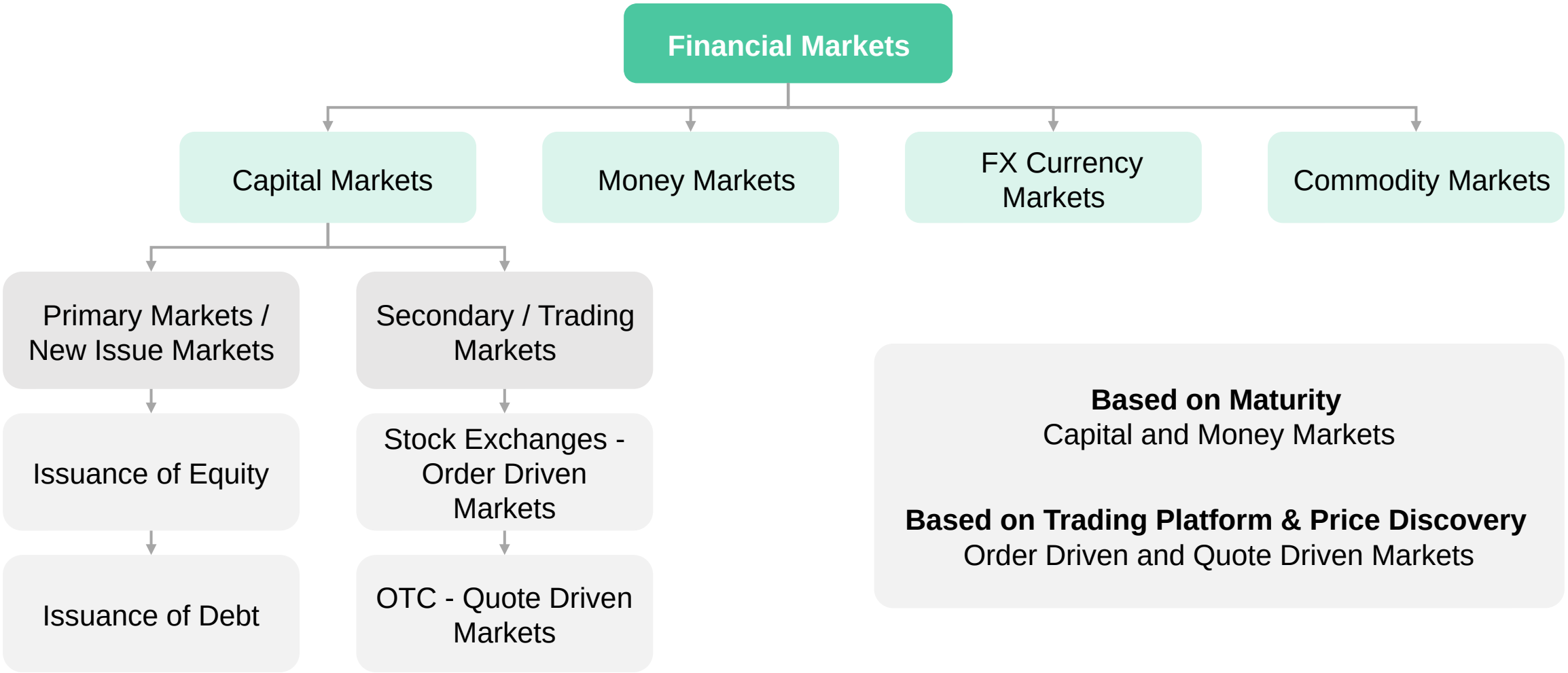
04

Market Transparency:
Transparency refers to the availability of accurate and timely information about prices, transactions, and other relevant market data. Transparent markets enhance investor confidence and informed decision-making.

05

Regulation and Oversight:
Financial markets are subject to regulatory frameworks and oversight by government authorities and regulatory bodies. Regulations aim to ensure fair practices, protect investors, and maintain market integrity.

TYPES OF FINANCIAL MARKETS



FINANCIAL MARKET - TYPES

1. Capital Markets

Capital markets encompass both equity and debt markets where businesses and governments raise long-term capital by issuing stocks and bonds. Capital markets contribute to economic growth by facilitating long-term investment.

2. Money Markets

Money markets focus on short-term borrowing and lending of funds, typically for periods of one year or less. Participants include banks, corporations, and governments seeking short-term financing or investment opportunities.

3. Foreign Exchange (Forex) Markets:

Forex markets facilitate the exchange of currencies from different countries. Participants trade one currency for another to facilitate international trade, investment, and speculation on currency value changes.

4. Derivatives Markets

The derivatives market is a place where financial contracts like futures, options, forwards, and swaps are traded. It is a complex market that is a subset of the stock market, commodity market, currency market, and others depending on the underlying asset that's a part of the derivative contract.

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Capital Markets



CAPITAL MARKETS & ITS IMPORTANCE

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Facilitates Investment and Economic Growth

Capital markets provide a platform for companies and governments to raise funds for investment in productive projects, research and development, infrastructure, and expansion. This investment contributes to economic growth, job creation, and improved living standards.



Long-Term Financing

Capital markets offer long-term financing options through the issuance of bonds and equities. This enables businesses to access funds for projects that require significant time to generate returns, such as infrastructure development or technological innovation.



Enhances Efficiency and Competition

Capital markets promote competition by allowing companies of all sizes to access funding. Smaller businesses can raise capital through public offerings, fostering innovation and a dynamic business environment.

CAPITAL MARKETS & ITS IMPORTANCE

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Encourages Savings and Investment

Capital markets provide individuals with opportunities to invest their savings and earn returns. This encourages savings and promotes a culture of financial responsibility.



Attracts Foreign Investment

Well-functioning capital markets attract foreign investment as investors seek opportunities for diversification and higher returns. This inflow of foreign capital can stimulate economic growth and infrastructure development.

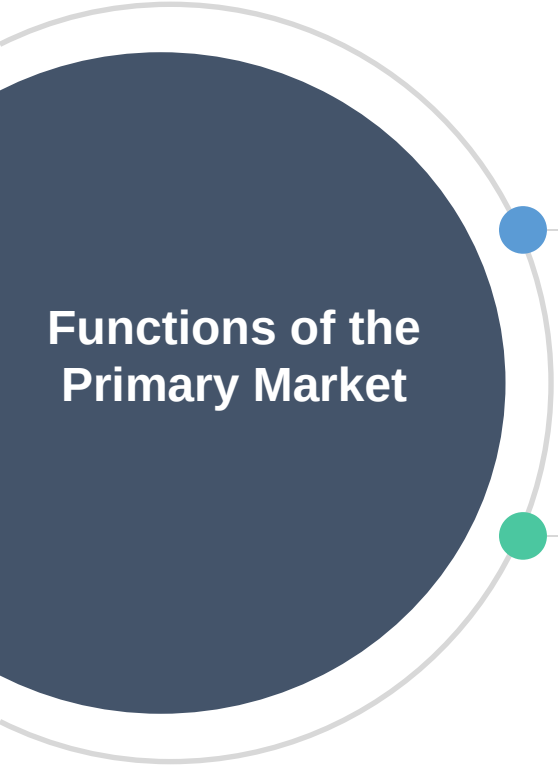


Price Discovery

Capital markets serve as platforms for price discovery, where market participants determine the value of financial assets based on supply and demand dynamics, information, and investor sentiment.

PRIMARY MARKET

The primary market, also known as the new issue market, is the financial market where new securities, such as stocks, bonds, and other financial instruments, are issued and sold by companies, governments, or other entities to raise capital. In the primary market, securities are directly offered to investors, and the proceeds from the sale of these securities go to the issuing entity.



1

Capital Formation: The primary function of the primary market is to facilitate the raising of capital by companies and governments. By issuing new securities, these entities can raise funds to finance their operations, investments, and growth initiatives.

2

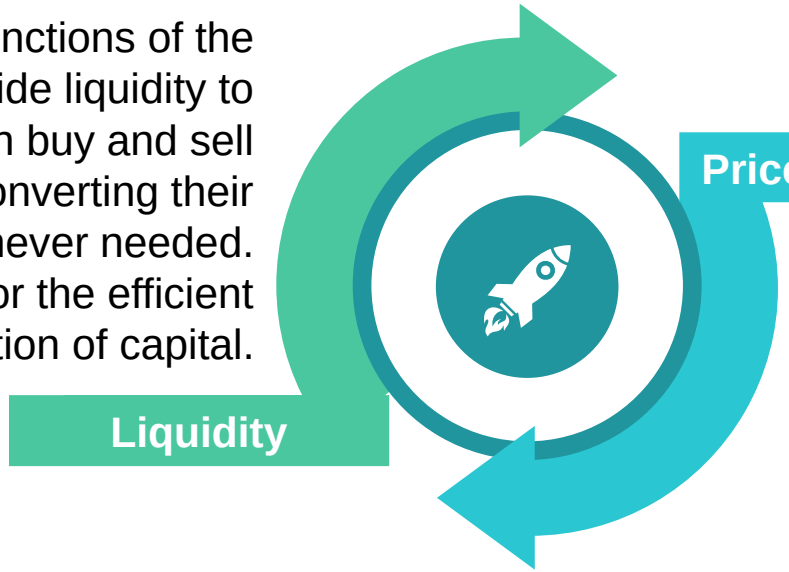
Initial Public Offerings (IPOs): The primary market is where companies conduct initial public offerings (IPOs) when they decide to become publicly traded companies. During an IPO, shares of the company are offered to the public for the first time, allowing the company to raise equity capital.

SECONDARY MARKET

The **secondary market,** also known as the aftermarket, is the financial market where previously issued securities, such as stocks, bonds, and other financial instruments, are bought and sold among investors. Unlike the primary market, where new securities are issued and sold by Issuers, the secondary market involves the trading of existing securities between investors. The secondary market plays a crucial role in providing liquidity, price discovery, and continuous trading opportunities for investors.

Functions of the Secondary Market

One of the primary functions of the secondary market is to provide liquidity to investors. Investors can buy and sell securities quickly and easily, converting their investments into cash whenever needed. This liquidity is essential for the efficient allocation of capital.



The secondary market enables the determination of market prices for securities based on supply and demand dynamics. As securities are traded, the market price reflects the collective assessment of investors about a company's value, performance, and prospects.



Order Driven & Quote Driven Markets

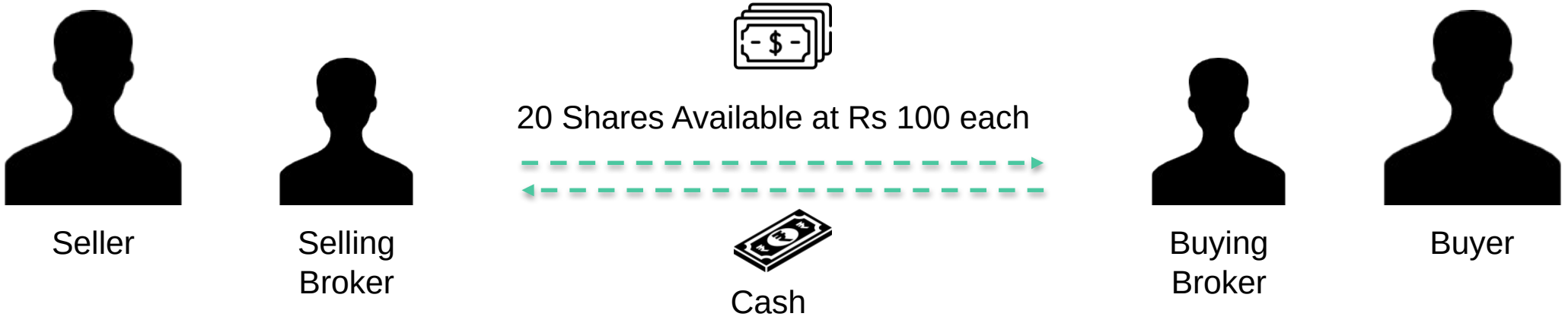
ORDER DRIVEN MARKET

Buyers and sellers display the prices and quantities at which they wish to buy or sell a particular security.

Buyers and sellers trade with each other with the help of Brokers on the Exchange Platform.

Key feature is that the counterparties are unknown.

Most order driven markets are auction markets.



ORDER DRIVEN MARKET

Advantages

The biggest advantage of an order driven market is transparency, since the order book is displayed for investors who wish to access this information.

Disadvantages

An order driven market may not have the same degree of liquidity as a quote driven market. Order execution is not guaranteed

Order Book | Intra-day Chart | Stock V/s Index Chart | Quarterly Charts

Buy Qty.	Buy Price	Sell Price	Sell Qty.
1,225	187.30	187.50	100
800	187.25	187.55	866
5	187.20	187.60	1
50	187.15	187.65	2,010
50	187.10	187.70	4,001
1,13,616	Total Quantity		4,12,341

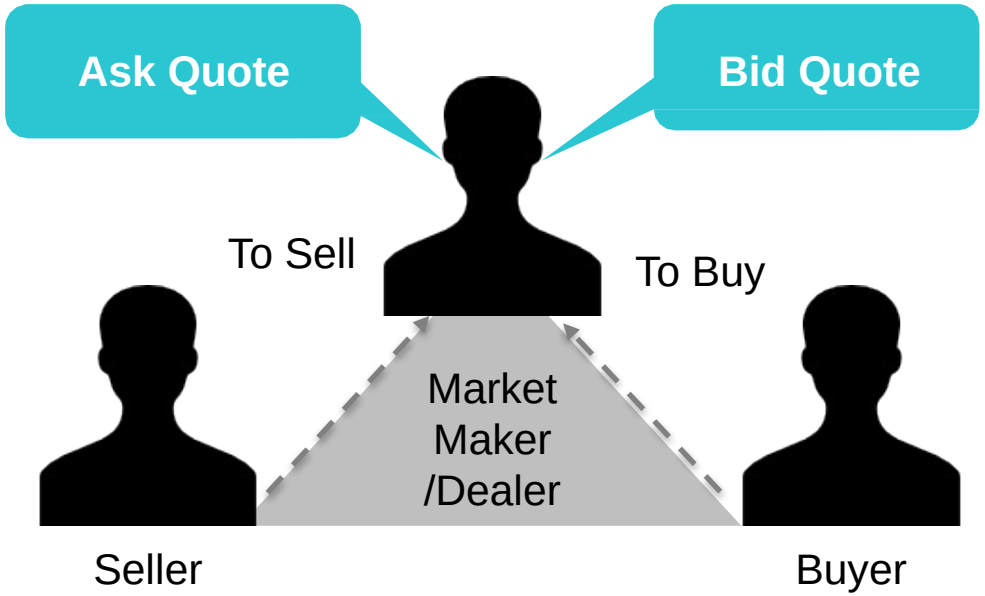
Example: NSE



National Stock Exchange of India

QUOTE DRIVEN MARKET

- A market in which prices are determined from bid and ask quotations provided by market makers, dealers or specialists.
- Also known as a **price driven market** in which market makers or dealers 'quote' the prices at which the public market participants are trading.
- Market makers provide **a bid quote (to buy)** and an **ask quote (to sell).**
- Market makers or dealers earn profit from the spread between the two quotes and the turnover of the shares.
- Here the counterparties are **Known.**



QUOTE DRIVEN MARKET

Order Execution is guaranteed in a quote driven market because market makers are required to meet the bid and ask prices they quote.

Once the Dealer/Market Maker quotes the prices, it means that they will have to buy and/or sell the underlier at their quoted prices

Quote Driven Market

vs

Orders are placed to only buy
or
only sell the underlier.

Order Driven Market

	BID	ASK
AUDUSD	0.9153 ▲	0.9156 ▲
EURJPY	139.35 ▼	139.38 ▼
EURUSD	1.3602 ▲	1.3604 ▲
EURCHF	1.2309 ▼	1.2312 ▼
EURGBP	0.8286 ▼	0.8289 ▼
GBPUSD	1.6413 ▲	1.6416 ▲

Example: Bloomberg



HYBRID MARKET

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Order Driven

Predominantly an order driven market

Hybrid Market

Also takes quotes from the participants via a specified specialist in cases of low liquidity

Quote Driven

A unique type of market which combines the features of both quote driven and order driven markets.



Examples



ORDER AND QUOTE DRIVEN MARKET

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Order Driven Market



- Displays all of the bids and asks.
- Orders detailing the quantity & price at which they are willing to buy or sell a security.
- No guarantee of order execution
- Price Transparency
- Counterparty is Unknown
- Trade Settlement is Guaranteed by the Exchange/Clearing House

Quote Driven



- Focuses only on the bids and asks of market makers and other designated parties.
- Orders will only share the quantity of the security.
- There is the guarantee of order execution.
- No Price Transparency
- Counterparty is Known
- There is a Counter Party Risk in case of Bi-Lateral Settlements



Participants in Financial Markets

MARKET PARTICIPANTS



- Investors
- Issuers
- Regulators
- Clearing Agents
- Custodians
- Depositories
- Broker Dealers

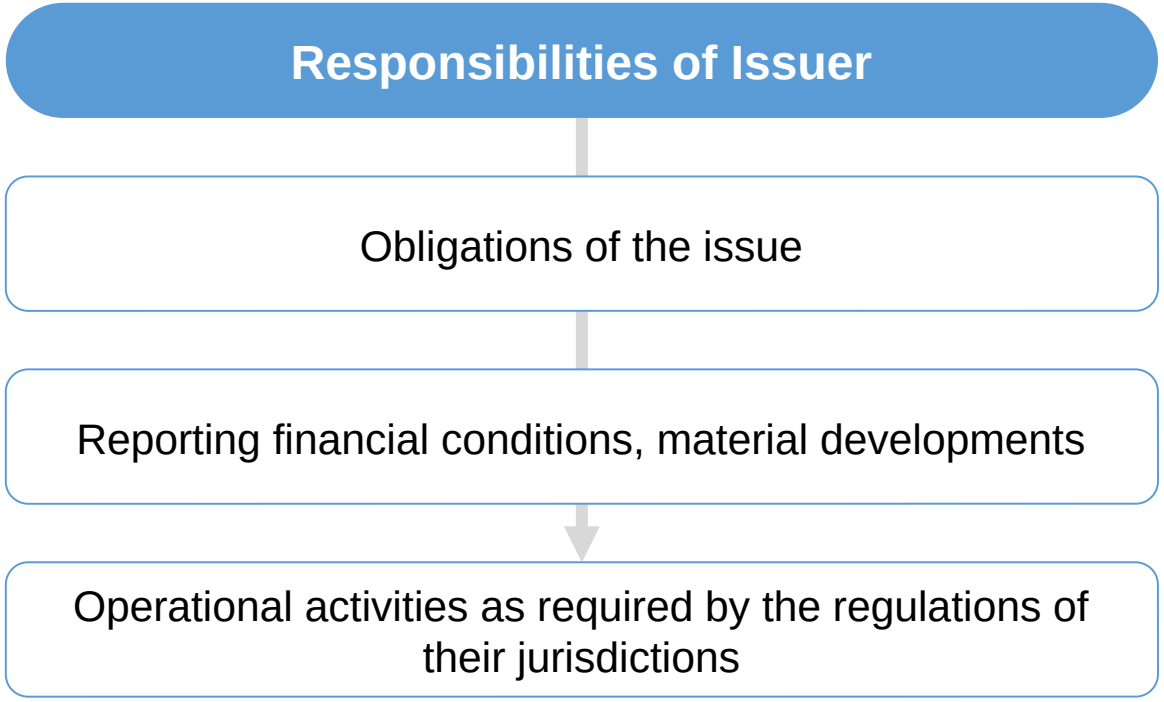
FINANCIAL PARTICIPANTS - ISSUERS

01

An issuer is said to be a legal entity that develops, registers, and sells securities to raise funds for its operations. Issuers can be Corporates, Municipal Corporations, Investment Trusts, or Domestic/Foreign Governments.

02

Issuers issue securities to raise short and long-term capital for conducting their business operations



INVESTORS

A stock investor is an individual or institutional investors who puts money to buy securities, offering potential profitable returns, as interest, income, or appreciation in value (capital gains).



Goal:
Regular Income
Capital Gains

Rely on fundamental analysis & technical analysis for investment decisions

FINANCIAL PARTICIPANTS - INVESTORS

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Retail Investors



Institutional Investors
Example: AMCs-MF/HF/PEF/PF



FINANCIAL PARTICIPANTS - INVESTORS

RETAIL INVESTORS



A retail investor, also known as an individual investor, who buys and sells securities or funds that contain a basket of securities such as mutual funds and exchange traded funds (ETFs).

Retail investors execute their trades through traditional or online brokerage firms for their own profit.

Retail investors purchase securities for their own personal accounts and often trade in dramatically smaller amounts as compared to institutional investors.

INSTITUTIONAL INVESTORS



Institutional Investors or Qualified Institutional Investors (QIIs) Commercial banks, Mutual Fund & Hedge Fund Houses, Insurance Companies, Public Financial institutions, and Foreign portfolio investors fall under this category.

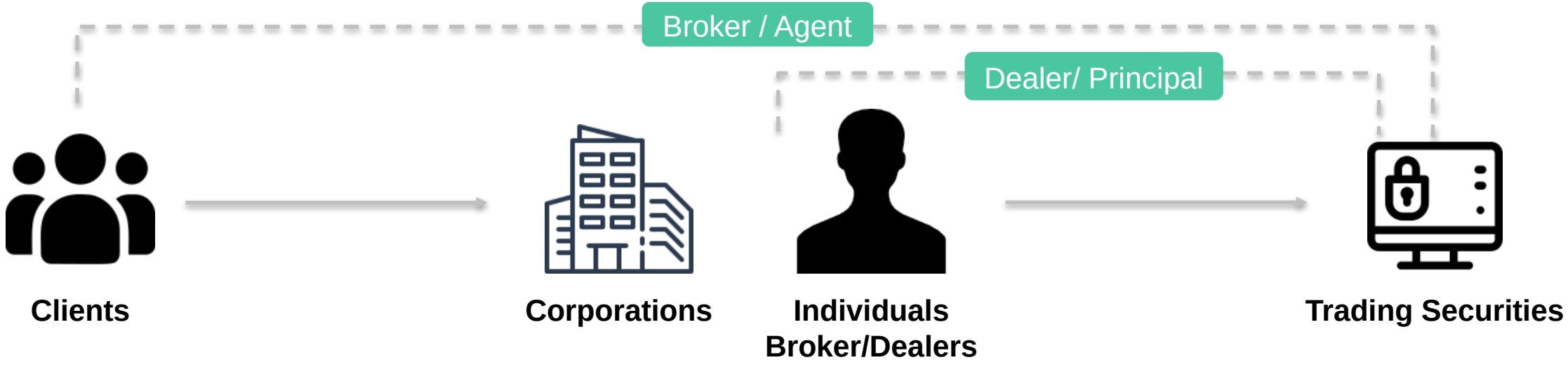
They also make substantial investments in the companies, very often reaching millions in dollars in value.

The institutional investor is not the beneficiary of the earnings from the investment, but the company as a whole act as a beneficiary.

FINANCIAL PARTICIPANTS – BROKERS AND DEALERS

Broker-Dealer is a natural person, a company or other organization that engages in the business of trading securities for its own account or on behalf of its customers.

- When executing trade orders on behalf of a customer, the institution is said to be acting as a Broker or Agent
- When executing trade orders from their own investments, the institution is said to be acting as a Dealer or Principal and they deal with their own clients by providing two-way quotes Bid Rate & Ask Rate.



BROKERS - ROLES AND RESPONSIBILITIES

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01

Executing Trades

One of the primary functions of a Brokers is to execute securities transactions on behalf of clients. They match buyers with sellers and facilitate the buying and selling of stocks, bonds, derivatives, and other financial instruments.

02

Client Services

Brokers provide a range of services to clients, including Individual Investors, Institutional Investors, and businesses. These services can include investment advice, order execution, and assistance with portfolio management.

03

Market Access

Broker-dealers provide clients with access to various financial markets, such as Stock Exchanges, Bond Markets, Commodity Markets, FX Markets and Derivative Markets. They execute trades on these markets and ensure timely settlement.

DEALERS - ROLES AND RESPONSIBILITIES

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04

Order Execution

Dealers execute orders from clients, either by providing Bid & Ask quotes to their clients or by interacting directly with market makers and other participants to secure the best available prices.

05

Market Making

Some Dealers engage in market making, which involves providing liquidity to the market by offering to buy or sell securities at quoted prices. This helps ensure smoother market operations.

06

Investment Advice

Dealers often provide investment recommendations and advice to their clients. However, they are required to adhere to regulations that govern the suitability of recommendations based on clients' risk tolerance, financial situation, and investment goals.

BROKERS AND DEALERS - DIFFERENCE

	Dealer	Broker
Role	Principal/Market Maker	Agent/Intermediary
Inventoryof Securities hold	Yes	No
Trading	Own account and bear own risk	Client’s account and no risk
Revenue	Bid-ask spread	Brokerage commission

STOCK EXCHANGE

What is the Stock Exchange?

A stock exchange is a centralized marketplace where buyers and sellers come together to trade financial securities, such as stocks, bonds, derivatives, and other investment instruments. It provides a regulated platform for the buying and selling of securities, ensuring transparency, fair pricing, and efficient execution of trades. Stock exchanges play a crucial role in the functioning of financial markets and the broader economy



Stock exchanges are segment of secondary market

LIST OF MAJOR STOCK EXCHANGE IN THE WORLD

Certainly, here is a list of some major stock exchanges around the world, along with their respective countries:

1. New York Stock Exchange (NYSE)

- Location: New York City, United States
- Notable Indices: Dow Jones Industrial Average, S&P 500

2. NASDAQ

- Location: New York City, United States
- Notable Indices: NASDAQ Composite, NASDAQ 100

3. London Stock Exchange (LSE)

- Location: London, United Kingdom
- Notable Indices: FTSE 100

LIST OF MAJOR STOCK EXCHANGE IN THE WORLD

Certainly, here is a list of some major stock exchanges around the world, along with their respective countries:

4. Tokyo Stock Exchange (TSE)	• Location: Tokyo, Japan • Notable Indices: Nikkei 225
5. Shanghai Stock Exchange (SSE)	• Location: Shanghai, China • Notable Indices: SSE Composite
6. Hong Kong Stock Exchange (HKEX)	• Location: Hong Kong • Notable Indices: Hang Seng Index
7. Euronext	• Location: Multiple European cities • Notable Indices: Euronext 100

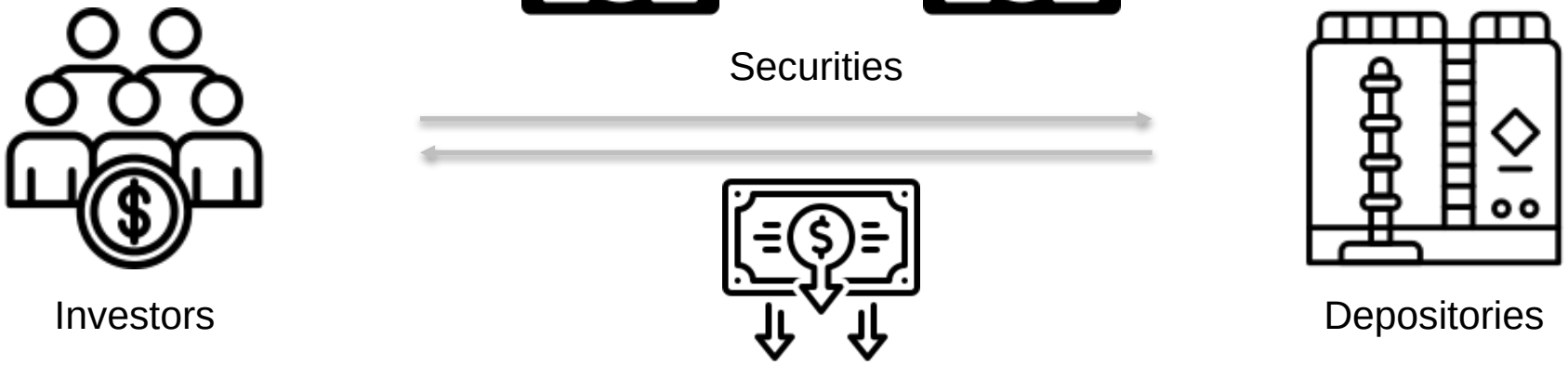
LIST OF MAJOR STOCK EXCHANGE IN THE WORLD

Certainly, here is a list of some major stock exchanges around the world, along with their respective countries:

8. Toronto Stock Exchange (TSX)	• Location: Toronto, Canada • Notable Indices: S&P/TSX Composite
9. Bombay Stock Exchange (BSE)	• Location: Mumbai, India • Notable Indices: SENSEX
10. BM&F Bovespa	• Location: São Paulo, Brazil • Notable Indices: IBOVESPA

MARKET PARTICIPANTS: DEPOSITORIES

It is a specialist financial organization holding securities such as shares either in certificated or un-certificated (dematerialized) form



GOAL: Easy transfer of ownership through a book entry rather than the transfer of physical certificates.

MARKET PARTICIPANTS: DEPOSITORIES – ROLES AND RESPONSIBILITIES

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01 Safekeeping of Securities

02 Dematerialization

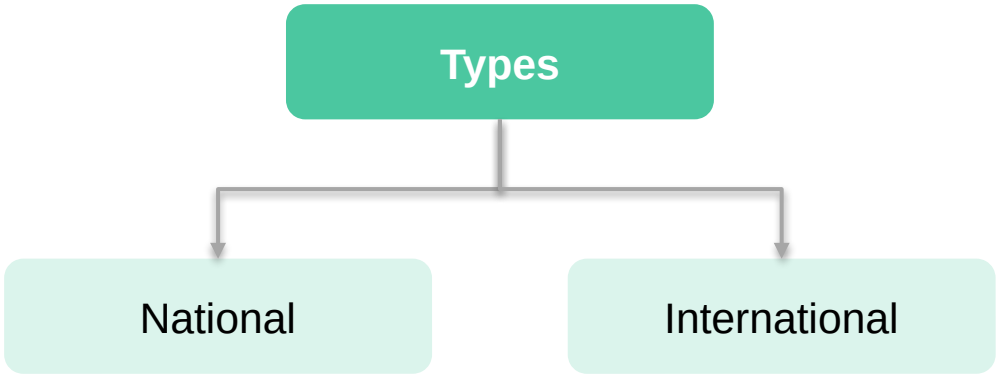
03 Transfer of Ownership

04 Electronic Settlement

05 Risk Management

06 Global Depository Receipts (GDRs) and American Depository Receipts (ADRs)

MORE ON DEPOSITORIES





Securities - Shares / Bonds / Money Market Instruments

Examples

NSDL Technology, Trust & Reach

CDSL Convenient • Dependable • Secure

clearstream | DEUTSCHE BÖRSE GROUP

SIX Securities Services

euroclear

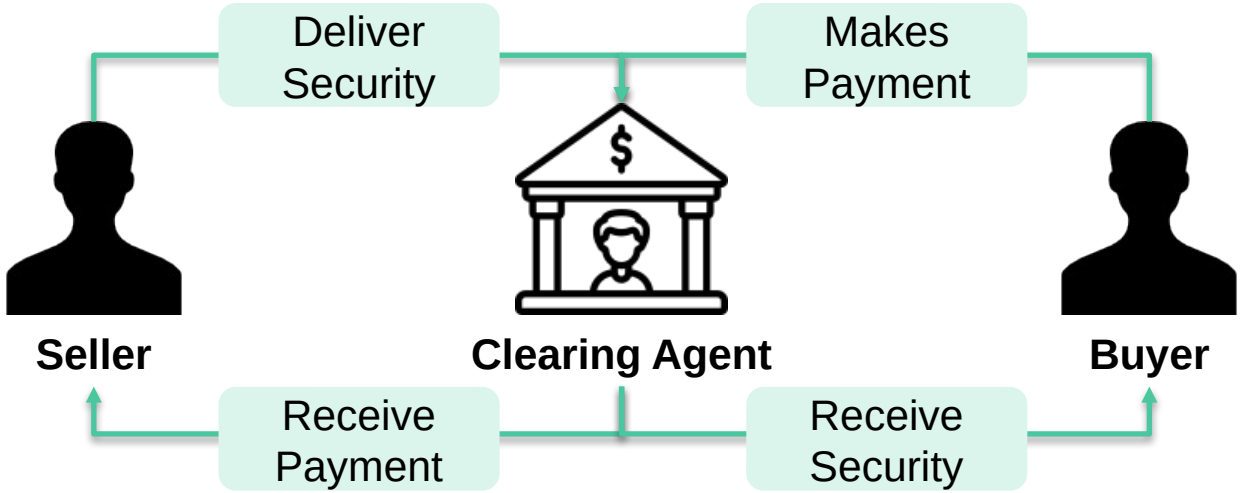
DTCC The Depository Trust & Clearing Corporation

MARKET PARTICIPANTS: CLEARING HOUSE

A Clearing House is a Financial Institution that provides Clearing and Settlement services for Financial Instruments like Shares / Bonds and Commodities, such as derivatives and securities transactions.

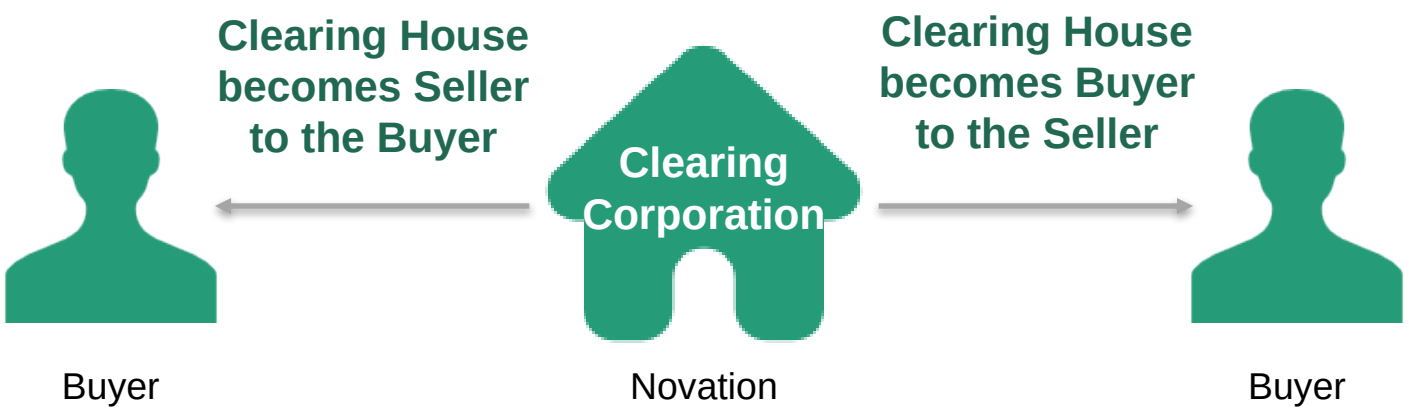
Clearing & Settlements are done for the Trade Transactions undertaken may be executed on:

- A futures exchange or Securities Exchange, and/or
- Off-exchange in the Over-The-Counter (OTC) market.



MARKET PARTICIPANTS: CLEARING HOUSE / AGENTS

The executed trade can be handed over to a clearing house, which then steps between the two original traders' clearing firms and assumes the legal counterparty risk for the trade.
This process of transferring the trade title to the clearing house is called **Novation.**



Examples

- In the United States, stock clearing can be done by The Depository Trust & Clearing Corporation.
- In Europe, securities clearing is offered by EMCF, LCH.Clearnet, SIX x-clear and EuroCCP.
- In India, Securities Clearing & Settlement is offered by NSCCL, ICH

MARKET PARTICIPANTS: CUSTODIAN BANKS



A custodian bank, or simply custodian, is a specialized financial institution responsible for safeguarding a firm's or individual's financial assets and is not necessarily engaged in "traditional" commercial or consumer/retail banking.



Custodian banks are often referred to as global custodians if they safe keep assets for their clients in multiple jurisdictions around the world, using their own local branches or other local custodian banks with which they contract to be in their "global network" in each market to hold accounts for their respective clients.

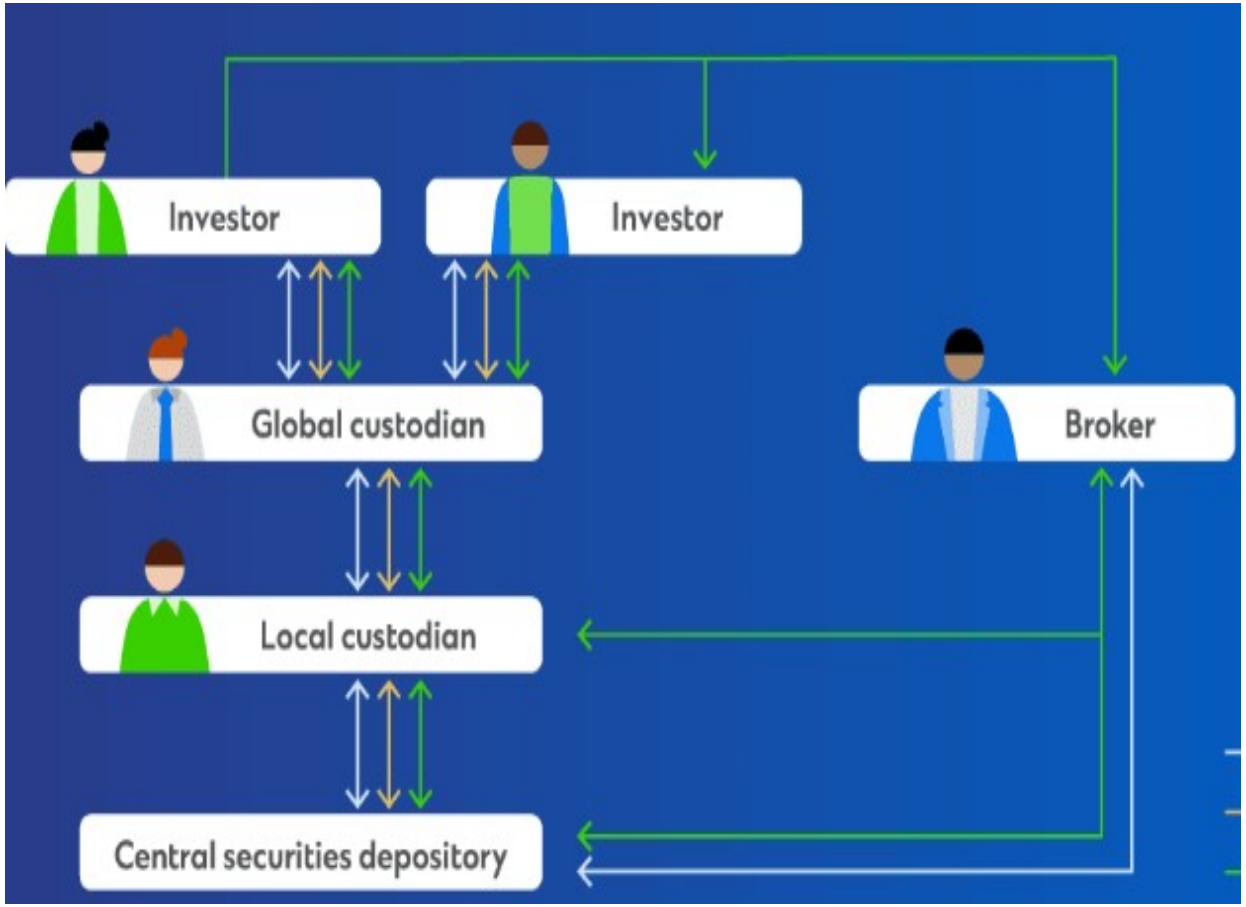


Assets held in such a manner are typically owned by larger institutional firms with a considerable amount of investments such as Insurance companies, Commercial Banks & Asset Management Companies Like Mutual Funds, Hedge Funds, Private Equity Funds and Pension Funds.

MARKET PARTICIPANTS: CUSTODIAN BANKS

Sub Custodian Banks

The appointment of sub-custodians allows global custodians to provide comprehensive custody services across different regions while leveraging the local expertise and capabilities of these entities. It also helps investors gain access to a broader range of markets and assets while ensuring compliance with local regulations and practices. However, it's crucial for custodians to carefully select and oversee their sub-custodian network to manage risks effectively and maintain the safety of client assets.



FINANCIAL PARTICIPANTS – DEPOSITORY vs CUSTODIAN

Depository	Custodian
A depository holds the ownership records of financial securities. It allows clearing and settlement of these securities as well as their transfer through Book Entry	A custodian is a bank or financial institution that holds financial securities & physical assets for safekeeping.
Depository holds Beneficial Ownership records of Financial Assets like Shares, Debentures, Commercial Papers, ETFs & Mutual funds	Safe keeting of Stocks, Bonds and Physical Certificates
It is the legal owner and custodian of the financial securities it holds.	The securities it holds are not legally owned by it.
Every depository serves as a custodian.	Not every custodian is a depository.
Custody is one of the depository's function.	A custodian's sole function is custody
Examples: CDSL, NSDL, DTCC, Clearstream	Examples: HDFC Bank, ICICI Bank, BNY Mellon, State Street, Northern Trust

MARKET PARTICIPANTS: REGULATORS

Financial institution responsible for supervision, which subjects issuers to certain requirements, restrictions and guidelines, aiming to maintain the integrity of the financial system.

Major Regulatory Agencies Globally



Major Regulatory Agencies in India





Investment Banks

WHAT IS AN INVESTMENT BANK?

An **Investment bank (IB)** is a financial intermediary that performs a variety of services.
Investment banks specialize in large and complex financial transactions, such as underwriting, acting as an intermediary between a securities issuer and the investing public, facilitating mergers and other corporate reorganizations, and acting as a broker and/or financial advisor for institutional clients.







INVESTMENT BANK - FUNCTIONS

1. Initial Public Offerings (IPOs) – Underwriting Services

Investment banks assist companies and governments in raising capital through the issuance of securities such as stocks and bonds. They help determine the appropriate pricing, structure, and timing of offerings to attract investors Investment banks play a pivotal role in taking companies public by managing the IPO process. They help with regulatory compliance, due diligence, investor presentations, and pricing. Investment banks often underwrite securities offerings, which involves purchasing securities from the issuer and then reselling them to investors. Underwriting helps ensure the success of the offering and reduces the issuer's risk.

2. Mergers and Acquisitions (M&A)

Investment banks provide advisory services to clients involved in mergers, acquisitions, divestitures, and other corporate transactions. They offer financial analysis, valuation, negotiation, and strategic guidance.

3. Financial Advisory

Investment banks offer financial advice to corporations, governments, and high-net-worth individuals. This advice may relate to strategic planning, risk management, capital structure, and financial restructuring.

INVESTMENT BANK - FUNCTIONS

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4. Securities Trading and Brokerage

Investment banks engage in trading securities, including stocks, bonds, derivatives, and currencies, on behalf of clients. They may also offer Broker/Dealer services to individual and institutional investors.

5. Research and Analysis

Investment banks provide research reports and analysis on various industries, sectors, and companies. Research helps investors make informed decisions and understand market trends.

6. Asset Management:

Some investment banks offer asset management services, including the management of investment portfolios and funds for institutional and individual clients.

INVESTMENT BANK VS. COMMERCIAL BANK

Investment Banks

- Don’t take deposits
- Don’t provide loans
- Have a few hundred core customers or less
- Provide a very bespoke service
- Don’t provide transactional day-to-day services
- Provide strategic advice to companies, e.g. on their structure, acquisitions, divestments and capital market products such as debits and equity instruments

Commercial Banks

- Take deposits
- Provide a lending service to their customers
- Provide a very standardized service
- Provide transactional day-to-day services
  - Current/ checking/ savings account
  - Credit and debit cards
  - Mortgages and personal loans
  - Insurance
- Don’t provide strategic advice to companies. A retail bank will explain all the services available to a company but its not usually within their remit to provide strategic advice on what the company should do.

COMMERCIAL VS. INVESTMENT BANKS

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COMMERCIAL BANKS



INVESTMENT BANKS

J.P.Morgan
citi
Goldman Sachs
Bank of America Merrill Lynch
NOMURA
Morgan Stanley
BARCLAYS CAPITAL
Deutsche Bank
CREDIT SUISSE

The line between the two is quickly disappearing.

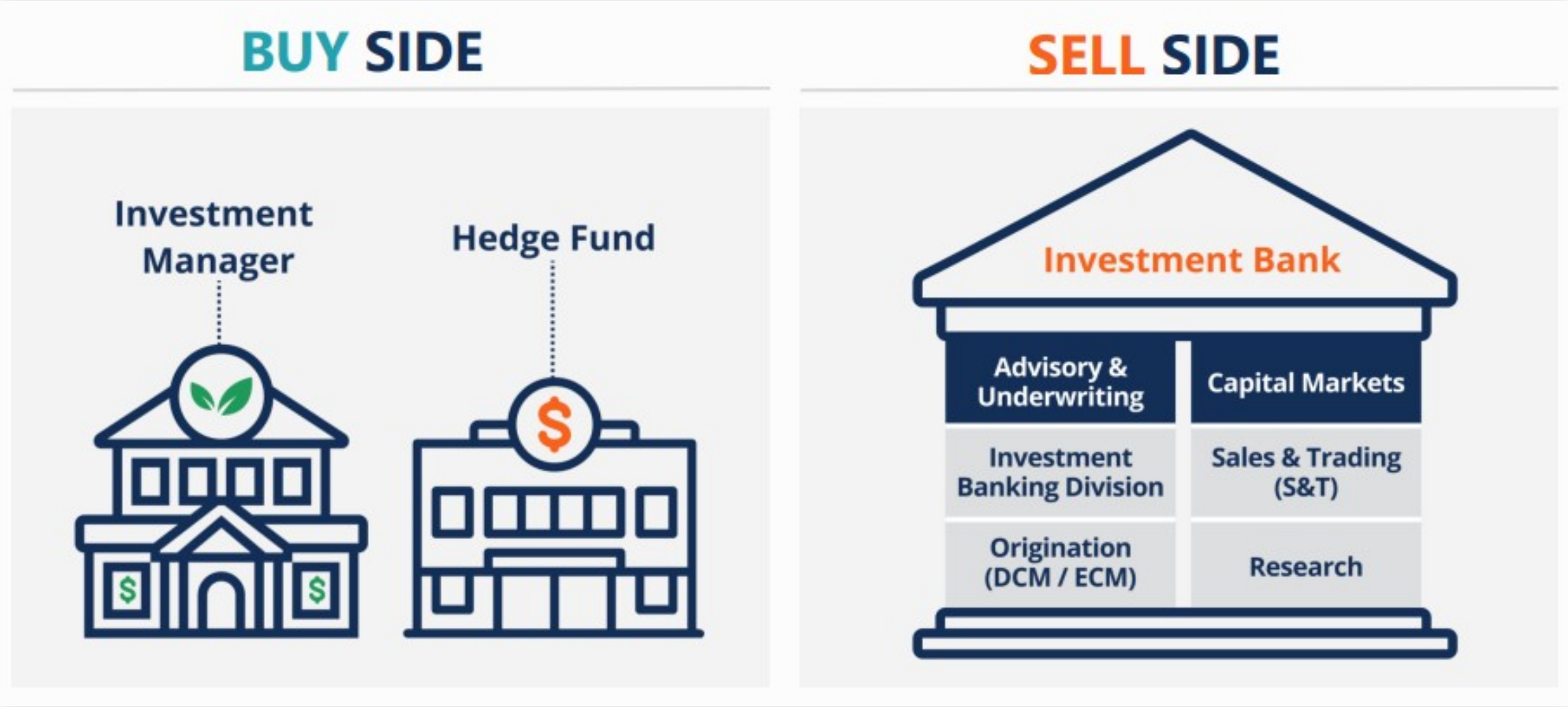
Banks that are in the commercial and investment banking space include:

JP Morgan, Bank of America, Deutsche Bank, Citibank, Barclays, BNP Paribas

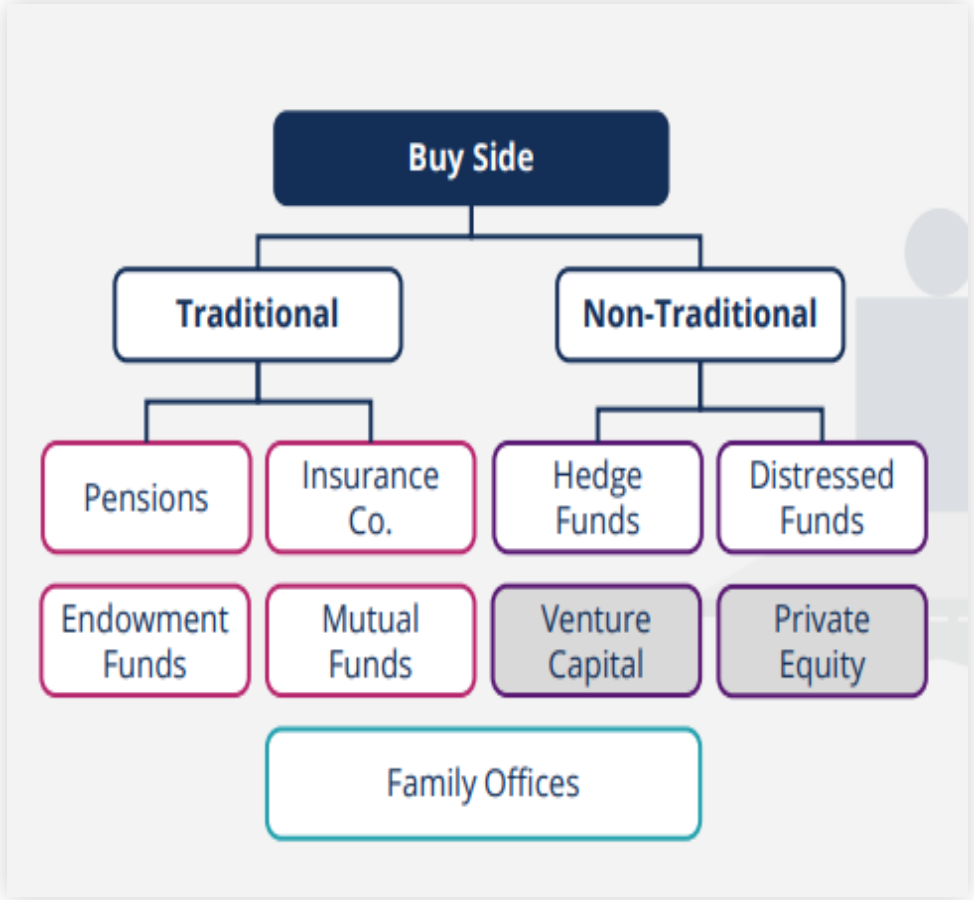
LIST OF INVESTMENT BANKS

1.	Goldman Sachs
2.	JP Morgan Chase
3.	Nomura
4.	Bank of America Merrill Lynch
5.	Citigroup
6.	Barclays Capital
7.	Credit Suisse
8.	UBS
9.	Deutsche Bank
10.	HSBC
11.	BNP Paribas
12.	Morgan Stanley
13.	The Royal Bank of Scotland
14.	RBC Capital Markets

FINANCIAL PARTICIPANTS – INVESTMENT BANKS



FINANCIAL PARTICIPANTS – IB – BUY-SIDE



EXAMPLES

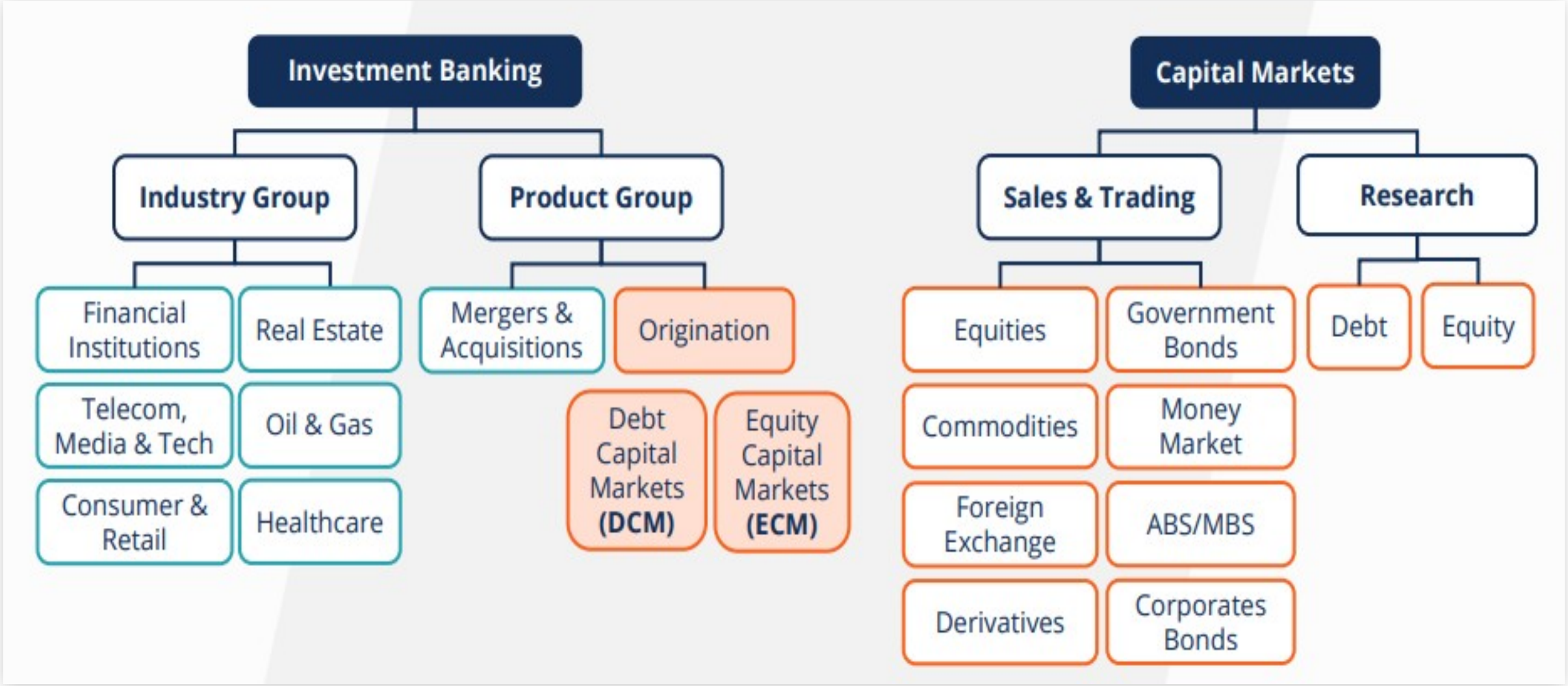
Traditional Buy Side



Non Traditional Buy Side



FINANCIAL PARTICIPANTS – IB – SELL-SIDE





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THANK YOU !!!

Contact us today!
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